

HS-HU701 — Principles of Management

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Module 2 Exam Notes

CGEC | B.Tech ECE (2023–27) | *Biraj Sarkar*

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1. Management and Society

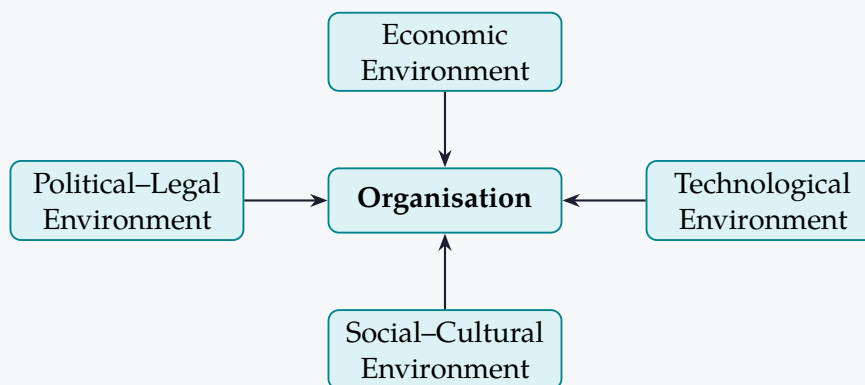
Management and Society — Overview

Management and Society refers to the interdependent relationship between organisations and their social environment. Modern organisations are not isolated entities; they are open systems embedded within society and are affected by social, political, legal, and economic forces — and, in turn, they affect society.

1.1 External Environment of an Organisation

The external environment consists of all forces outside the organisation that can influence its performance:

External Environment of an Organisation



- **Economic Environment:** Includes inflation, interest rates, GDP growth, unemployment levels, and business cycles. Directly affects demand, costs, and investment decisions.
- **Technological Environment:** Pace of innovation, automation, R&D, and digitisation. Affects production methods, products, and competitive advantage.
- **Social-Cultural Environment:** Demographics, lifestyle changes, cultural values, education levels, and social norms. Affects consumer behaviour and workforce composition.
- **Political-Legal Environment:** Government stability, taxation policy, labour laws, environmental regulations, and trade policies. Shapes the rules within which organisations operate.
- **Natural Environment:** Availability of natural resources, environmental sustainability concerns, climate regulations.

1.2 Corporate Social Responsibility (CSR)

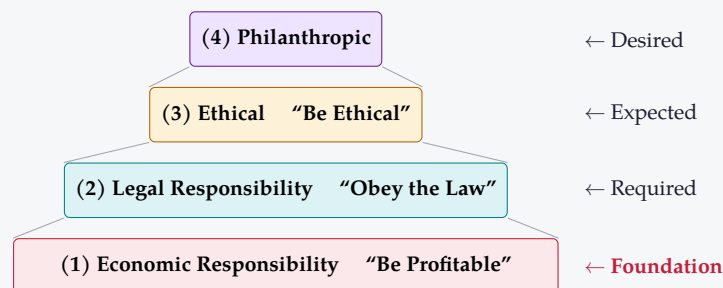
Corporate Social Responsibility (CSR)

CSR is the obligation of business organisations to act in ways that protect and improve the welfare of society along with their own interests. It represents a company's commitment to operating in an economically, socially, and environmentally responsible manner beyond what the law requires.

1.2.1 Carroll's Pyramid of CSR

Carroll (1991) proposed four layers of corporate responsibility, from the most fundamental to the most discretionary:

Carroll's Pyramid of CSR



1.2.2 Arguments For and Against CSR

Arguments For CSR	Arguments Against CSR
Improves brand image and public trust.	Increases costs and reduces profitability.
Attracts socially conscious investors and customers.	Management's primary duty is profit maximisation (Friedman doctrine).
Reduces regulatory scrutiny and legal risk.	Dilutes focus from core business competence.
Enhances employee motivation and retention.	Can lead to misuse of corporate funds.
Contributes to long-term sustainable development.	Difficult to measure the return on CSR investment.

1.3 Corporate Governance

Corporate Governance

Corporate Governance refers to the system of rules, practices, and processes by which a company is directed and controlled. It balances the interests of a company's many stakeholders — shareholders, management, customers, suppliers, financiers, government, and the community.

Key principles of Good Corporate Governance:

- **Accountability:** Directors and management are accountable to shareholders.
- **Transparency:** Full, accurate, and timely disclosure of financial and non-financial information.
- **Fairness:** Equal treatment of all shareholders, including minority shareholders.
- **Responsibility:** Management must act responsibly toward all stakeholders.
- **Independence:** Independent board members free from management influence.

1.4 Ethical Standards in Management

Business Ethics

Business Ethics refers to the application of ethical principles and moral standards to business activities, relationships, and decisions. It involves distinguishing between right and wrong conduct in the workplace.

Sources of unethical behaviour in organisations:

- Excessive pressure to meet short-term financial targets.
- Ambiguous or absent codes of conduct.
- Weak enforcement of ethical standards by top management.
- Peer pressure and cultural normalisation of unethical acts.

How to improve ethical standards:

- Develop and communicate a formal Code of Ethics.
- Lead by example — ethical behaviour from top management.
- Establish whistleblower protection mechanisms.
- Conduct regular ethics training programmes.
- Include ethical criteria in performance appraisal.

2. People Management

People Management — Overview

People Management (Human Resource Management) involves planning for, acquiring, developing, and retaining people in an organisation so that they contribute maximally to organisational goals.

2.1 Job Design

Job Design

Job Design is the process of organising tasks, duties, and responsibilities into a productive unit of work. It defines the content and method of a job and influences employee motivation, satisfaction, and productivity.

Major approaches to job design:

1. **Job Simplification:** Breaking jobs into small, repetitive, standardised tasks. Maximises efficiency but may cause boredom (Taylor's Scientific Management approach).
2. **Job Rotation:** Systematically moving employees across different jobs or departments. Reduces boredom and builds versatility.
3. **Job Enlargement:** Adding more tasks of similar complexity to a job (horizontal expansion) to increase variety.
4. **Job Enrichment:** Adding more responsibility, autonomy, and complexity to a job (vertical expansion). Based on Herzberg's two-factor theory — enhances motivation.

Hackman and Oldham's Job Characteristics Model identifies five core dimensions:

- **Skill variety:** Degree to which a job requires different skills and talents.
- **Task identity:** Degree to which the job involves doing a complete piece of work.
- **Task significance:** Degree to which the job has a substantial impact on others.
- **Autonomy:** Degree to which the job provides freedom and independence.
- **Feedback:** Degree to which the job itself provides direct performance information.

2.2 Recruitment and Selection

Recruitment and Selection

Recruitment is the process of attracting qualified candidates for job vacancies. **Selection** is the process of choosing the most suitable candidate from the pool of recruited applicants.

Aspect	Recruitment	Selection
Definition	Attracting a pool of qualified applicants.	Choosing the best fit from the applicants.
Nature	Positive process (attract more applicants).	Negative process (eliminate unsuitable candidates).
Outcome	Pool of candidates.	Single best candidate appointed.
Sources	Internal (promotions, transfers) or External (ads, job fairs, campus).	Interviews, tests, background checks.

2.3 Training and Development

Training vs. Development

Training is a short-term, systematic process that improves employees' specific job-related skills and knowledge for their current role.

Development is a long-term process aimed at improving the overall capabilities and career growth of employees for future roles.

Common training methods:

- **On-the-Job Training (OJT):** Apprenticeship, coaching, mentoring, job rotation.
- **Off-the-Job Training:** Lectures, case studies, simulations, vestibule training, role-playing.
- **E-Learning:** Online courses, virtual classrooms, webinars.

2.4 Stress Management

Stress in the Workplace

Stress is the physical and emotional response to excessive demands or pressures that exceed a person's ability to cope. Moderate stress (eustress) can improve performance, but chronic stress (distress) reduces productivity and health.

Common causes of workplace stress (stressors):

- Work overload, unrealistic deadlines, and poor time management.
- Role ambiguity (unclear responsibilities) or role conflict (conflicting demands).
- Poor relationships with supervisors or colleagues.
- Job insecurity and lack of career growth opportunities.
- Physical conditions: noise, poor lighting, and uncomfortable workspace.

Stress management strategies:

Approach	Methods
Individual (employee)	Time management, exercise, relaxation techniques, social support.
Organisational	Clear role definitions, flexible work arrangements, counselling programmes, realistic goal-setting.
Job Redesign	Reducing overload; increasing autonomy and feedback.

3. Managerial Competencies

3.1 Communication in Management

Communication — Definition

Communication is the process of transmitting information, ideas, thoughts, feelings, and emotions from one person to another through verbal, non-verbal, or written channels. Effective communication is essential for coordination, motivation, and decision-making.

Types of communication in an organisation:

- **Downward:** From higher to lower levels (orders, policies, instructions).
- **Upward:** From lower to higher levels (reports, feedback, grievances).
- **Horizontal/Lateral:** Among peers at the same level (coordination).
- **Diagonal:** Across different levels and departments (cross-functional teams).
- **Grapevine (Informal):** Unofficial communication networks; fast but often inaccurate.

Barriers to effective communication:

- Physical barriers (noise, distance), Semantic barriers (jargon, language differences).
- Psychological barriers (perceptual biases, emotional state).
- Organisational barriers (rigid hierarchies, information overload).

3.2 Motivation

Motivation — Definition

Motivation is the process that initiates, guides, and sustains goal-oriented behaviours. It is the internal force that drives an individual to take action, maintain effort, and persist toward a goal.

Major motivation theories:

Theory	Key Concept
Maslow's Hierarchy of Needs	Five levels: Physiological → Safety → Social → Esteem → Self-Actualisation. People are motivated to fulfil unmet needs.
Herzberg's Two-Factor Theory	Hygiene factors (salary, job security) prevent dissatisfaction. Motivators (achievement, recognition) create satisfaction.
McGregor's Theory X and Y	Theory X: Workers are lazy and need control. Theory Y: Workers are self-motivated and seek responsibility.
Vroom's Expectancy Theory	Motivation = Expectancy × Instrumentality × Valence. Effort leads to performance, performance leads to outcome.

3.3 Team Effectiveness

Team vs. Group

A **Group** is a collection of individuals who interact primarily to share information and make decisions. A **Team** is a small number of people with complementary skills who are committed to a common purpose, performance goals, and approach for which they hold themselves mutually accountable.

Tuckman's Stages of Team Development:

1. **Forming:** Team members are introduced; roles and goals are unclear; polite and cautious behaviour.
2. **Storming:** Conflict and competition arise as individual personalities emerge; power struggles.
3. **Norming:** Team establishes norms, roles become clear, cohesion builds.
4. **Performing:** Team works productively and cooperatively toward goals.
5. **Adjourning:** Team disbands after goal achievement; members reflect on accomplishments.

3.4 Conflict Management

Conflict in Organisations

Conflict is a disagreement between two or more parties over incompatible goals, limited resources, or differences in values and perceptions. Conflict can be **functional** (stimulates creativity and debate) or **dysfunctional** (destroys cohesion and performance).

Thomas–Kilmann Conflict Resolution Styles:

Style	Description	When to Use
Competing	Assert own position; win–lose approach.	Emergencies; unpopular decisions.
Collaborating	Win–win; both parties work together to find a mutually satisfying solution.	Complex issues; long-term relationships.
Compromising	Each party gives up something; middle-ground solution.	Time pressure; equal-power parties.
Avoiding	Withdraw or postpone the conflict.	Trivial issues; when time is needed to cool down.
Accommodating	Yield to the other party; lose–win.	When preserving relationship is more important than outcome.

3.5 Creativity and Entrepreneurship

Creativity and Entrepreneurship

Creativity is the ability to generate novel and useful ideas. **Entrepreneurship** is the process of identifying business opportunities and organising resources to exploit them, while accepting the associated risks.

Intrapreneurship: Entrepreneurial behaviour within an existing organisation — employees act as internal entrepreneurs to develop new products or processes.

Characteristics of creative/entrepreneurial managers:

- High tolerance for ambiguity and risk.
- Intrinsic motivation and persistent problem-solving drive.
- Ability to connect disparate ideas and synthesise novel solutions.
- Strong networking and resource-mobilisation skills.

Quick Revision — Module 2

Society, People Management & Managerial Competencies | HS-HU701

Key Frameworks at a Glance

Carroll's CSR Pyramid	Economic → Legal → Ethical → Philanthropic
Job Enrichment	Vertical job expansion; adds autonomy and responsibility.
Vroom's Expectancy	Motivation = Expectancy × Instrumentality × Valence
Tuckman's Team Stages	Forming → Storming → Norming → Performing → Adjourning
Thomas-Kilmann	5 conflict styles: Competing, Collaborating, Compromising, Avoiding, Accommodating

One-Line Definitions

- **CSR:** Obligation of organisations to operate in a socially and environmentally responsible manner beyond legal requirements.
- **Corporate Governance:** System of rules and processes by which a company is directed and controlled.
- **Business Ethics:** Application of moral standards to business activities and decisions.
- **Job Design:** Organising tasks and responsibilities into a productive unit of work.
- **Job Enrichment:** Vertical expansion of a job by adding responsibility and autonomy.
- **Recruitment:** Process of attracting qualified candidates for vacancies (positive process).
- **Selection:** Process of choosing the best fit from recruited candidates (negative/elimination process).
- **Stress:** Emotional/physical response when demands exceed coping capacity.
- **Motivation:** Internal force that drives behaviour toward a goal.
- **Team:** Small group with complementary skills, shared goals, and mutual accountability.
- **Conflict:** Disagreement over incompatible goals, resources, or values.
- **Entrepreneurship:** Identifying opportunities and organising resources to exploit them while accepting risk.

Frequently Asked / Viva Questions

Q1. What is CSR? What are Carroll's four levels of CSR?

CSR is a firm's commitment to act ethically and contribute to economic development while improving the quality of life. Carroll's four levels are:

Frequently Asked / Viva Questions (contd.)

Economic (be profitable), Legal (obey the law), Ethical (be ethical), and Philanthropic (be a good citizen).

Q2. What is Corporate Governance? Why is it important?

Corporate governance is the system of rules directing and controlling a company. It ensures accountability, transparency, and fair treatment of all stakeholders, preventing fraud and mismanagement.

Q3. Distinguish between job enrichment and job enlargement.

Job enrichment adds more responsibility, autonomy, and complexity (vertical expansion). Job enlargement adds more tasks of similar difficulty (horizontal expansion). Enrichment is more motivating.

Q4. What is Tuckman's model of team development? Name the five stages.

Tuckman's model describes team evolution through: Forming (polite, uncertain), Storming (conflict), Norming (cohesion), Performing (productive), and Adjourning (disbanding).

Q5. State Herzberg's Two-Factor Theory. How does it differ from Maslow's theory?

Herzberg identifies Hygiene Factors (prevent dissatisfaction: salary, working conditions) and Motivators (create satisfaction: achievement, recognition). Unlike Maslow's single hierarchy, Herzberg separates dissatisfaction and satisfaction as two independent dimensions.

Q6. What is Vroom's Expectancy Theory of motivation?

Motivation = Expectancy (effort will lead to performance) × Instrumentality (performance will lead to reward) × Valence (reward is valued). All three must be high for strong motivation.

Q7. What are the five Thomas-Kilmann conflict resolution styles?

Competing (win-lose), Collaborating (win-win), Compromising (mutual concessions), Avoiding (withdraw), and Accommodating (yield to other party).

Q8. What is the difference between recruitment and selection?

Recruitment is a positive process of attracting a pool of candidates; selection is a negative process of eliminating unsuitable candidates to choose the best fit.

Q9. What are the main causes of workplace stress?

Work overload, role ambiguity, role conflict, poor superior relationships, job insecurity, and poor physical working conditions.

Q10. What is intrapreneurship?

Intrapreneurship is entrepreneurial behaviour displayed by employees within an existing organisation — acting like internal entrepreneurs to innovate, develop new products, or improve processes.

Frequently Asked / Viva Questions (contd.)

Q11. Name the five core dimensions of Hackman and Oldham's Job Characteristics Model.

Skill variety, Task identity, Task significance, Autonomy, and Feedback.

Q12. What are the key barriers to effective communication in an organisation?

Physical barriers (noise), Semantic barriers (language/jargon), Psychological barriers (bias, emotions), and Organisational barriers (hierarchy, information overload).

Training vs. Development — Comparison

Aspect	Training	Development
Time Horizon	Short-term	Long-term
Focus	Current job role	Future roles and career growth
Scope	Specific skills and knowledge	Broad capabilities and personality
Initiative	Organisation-driven	Individual and organisation
Example	Safety training, software training	Leadership development, MBA sponsorship